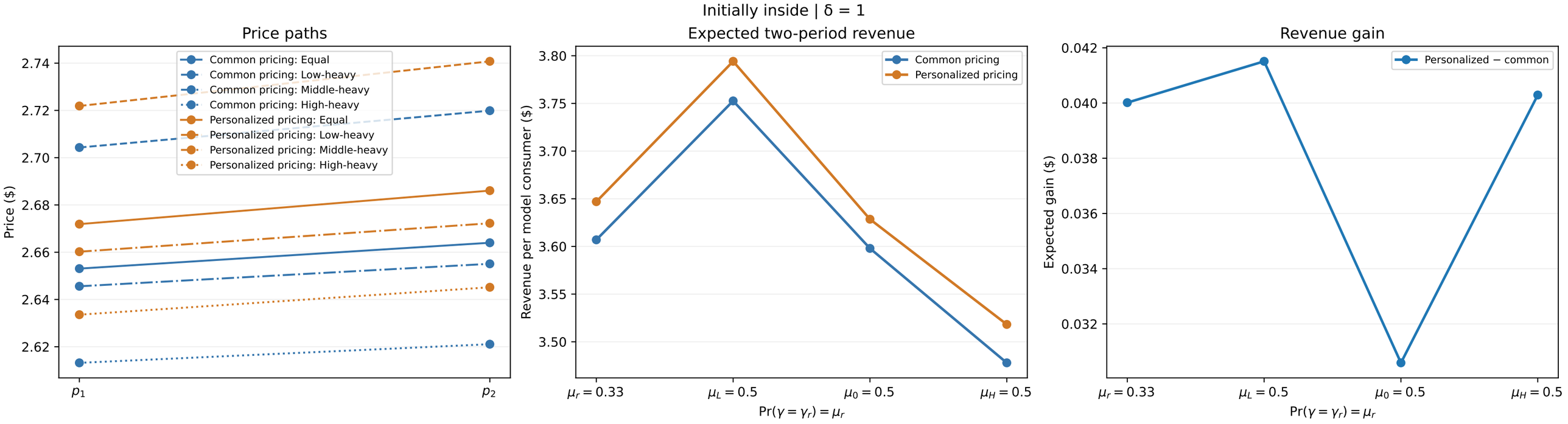
Initially inside | δ = 1
Price paths
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Price ($)
2.74
2.72
2.70
2.68
2.66
2.64
2.62
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Revenue per model consumer ($)
3.80
3.75
3.70
3.65
3.60
3.55
3.50
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Personalized − common
Expected gain ($)
0.042
0.040
0.038
0.036
0.034
0.032
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$